

ABBN: ABB Ltd

Electrification & Automation Megatrends · Premium Growth · Elite Capital Efficiency

NTM P/E	Fwd 2-Yr EPS CAGR	Net Debt/EBITDA	LTM ROE
32.35x	14.4%	0.44x	33.6%
Next Twelve Months	2-Year Forward	Low leverage	Trailing 12 Months

GROWTH PLAY: THE QUANTITATIVE GROWTH ENGINE

ABB Ltd (ABBN) is positioning itself as a core infrastructure winner in the global transition toward electrification, industrial automation, and low-carbon transport. By capturing structural tailwinds across renewable power, grid modernisation, and smart factory applications, ABB has evolved into a premier industrial compounder. Our quantitative models flag ABBN as a **high-conviction Growth play (Growth Rank: 82/100)**, despite a premium valuation that compresses its Value Rank (17/100).

Value Score	Growth Score	LTM ROIC	Net Debt/EBITDA
17/100	82/100	24.5%	0.44x
Premium multiples	TOP GROWTH	Elite quality	Strong balance sheet

1 · Structural Growth Acceleration & Margin Expansion

ABB is experiencing a powerful inflection in its growth profile, demonstrating significant operating leverage as it scales.

- **Top-Line Velocity:** While the last 3-year Revenue CAGR stood at a modest 4.1%, forward estimates indicate a massive acceleration — projected Fwd 2-Yr Revenue CAGR of **10.5%**, with full-year 2026 revenue growth expected to hit **+12.8% YoY**.
- **Operating Leverage & Margin Accretion:** EBITDA expected to grow by **+19.5% YoY** in 2026, outpacing revenue and expanding the projected EBITDA margin to **21.9%** (up from 20.7% in 2025). Normalised Net Income margins also forecasted to scale to **16.1%** in 2026.
- **Earnings Power:** Normalised EPS projected to surge by **+20.8% YoY** in 2026, contributing to a robust Fwd 2-Yr EPS CAGR of **14.4%**.

2 · Best-in-Class Capital Efficiency & Sector Quality

ABB's quality metrics screen exceptionally high for the electrical equipment sector, signalling an elite competitive moat and disciplined capital allocation.

- **Elite Returns on Capital:** LTM Return on Equity (ROE) stands at a stellar **33.6%**, expected to expand further to **34.5%** for the full year 2026.
- **Superior ROIC:** LTM Return on Invested Capital of **24.5%** — proving that ABB generates premium economic returns on every dollar deployed in automation and electrification.
- **Balance Sheet Fortress:** LTM Net Debt/EBITDA of just **0.44x** — an incredibly clean capital structure leaving ample room to fund continuous R&D and bolt-on acquisitions without dilution risk.

3 · Valuation & Market Momentum

ABB's low Value Score (17/100) reflects a market that is fully aware of its structural strengths.

■ **Premium Multiples:** Driven by a spectacular **+79.7% 1-year price return**, the stock trades at an LTM P/E of 40.28x and an NTM P/E of **32.35x**.

■ **Strong Price Momentum:** Growth Rank of 82/100 highly supported by price momentum, with the stock trading near its 52-week high of CHF 85.38 (closing at CHF 83.62 on May 29, 2026).

■ **Investment Case:** While traditional value screens will reject the LTM P/BV of 13.17x, growth and quality mandates will view this as a justified premium for an industrial giant experiencing secular growth acceleration.

The Bottom Line

ABB Ltd is a quintessential modern industrial compounder. The transition from an asset-heavy legacy manufacturer to a high-margin leader in Electrification and Automation has permanently re-rated the stock. Supported by a Fwd 2-Yr EPS CAGR of 14.4% and an extraordinary LTM ROIC of 24.5%, the operational momentum justifies the premium 32.35x NTM P/E. For growth portfolios seeking exposure to the global grid and factory automation super-cycles, ABBN represents a fundamentally sound anchor.

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